armistice agreements in the summer of 1949, the population of the State of Israel was estimated at approximately 1 million, of which about 156,000 (15 percent) were Arabs. The absorption of a quarter of a million Arab refugees would have increased the percentage of Arabs in the country to 36 to 37 percent; beyond the security issues this would involve, it would have placed a huge economic burden on the young state, which was expected to absorb over a million Jewish refugees from Europe and the Arab countries in the coming years. (According to Ben-Gurion—see below—such a large minority, part of which was hostile, in a democratic state threatened its very existence.)

The Arab states, for their part, categorically refused to absorb the refugees, out of a complex set of considerations. They identified the Western powers' concern that the prolonged existence of the refugee problem would play into the hands of the Soviet Union in its efforts to expand its influence by recruiting weak and suffering groups to the ranks of the Communist Party. The Arab countries also believed, correctly to a large degree, that Israel's stubbornness would lead to the superpowers increasing their pressure on it, on humanitarian grounds. And a final consideration was that if Israel agreed, under pressure, to absorb the refugees, or at least some of them, the result would be the economic and political, and perhaps military, undermining of the State of Israel from within.

The Conciliation Commission saw it as its duty to try to bring the positions of the two sides closer together. The committee members— the United States, France, and Turkey—tried to persuade the parties to agree to a solution according to which both Israel and the Arab states would agree to take upon themselves the absorption of some of the refugees.

As a result of the pressure placed on Israel by Ethridge, the American representative to the Conciliation Commission, Secretary of State Dean Acheson, and even President Truman, Israeli foreign minister Moshe Sharett wrote to his American counterpart, Acheson, on March 14, 1949, that "Israel would be prepared, under certain circumstances, to allow the return of a certain proportion of [Arab refugees], although this willingness will depend on the nature of the peace to be discussed."

The Americans were not satisfied with this and demanded that Israel agree to absorb a quarter of all of the refugees. This demand was attributed to President Truman himself.